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# LEGISLATIVE COUNCIL BRIEF

Road Traffic Ordinance
(Chapter 374)

## TAXI FARE INCREASE APPLICATIONS

## ROAD TRAFFIC (PUBLIC SERVICE VEHICLES) (AMENDMENT) REGULATION 2024

## INTRODUCTION

At the meeting of the Executive Council on 14 May 2024, the Council ADVISED and the Chief Executive ORDERED that the Road Traffic (Public Service Vehicles) (Amendment) Regulation 2024 (the Amendment Regulation), at **Annex A**, should be made under section 7(1C) of the Road Traffic Ordinance (Cap. 374) (the Ordinance) to give effect to the revised rate of fares for the hiring of urban, NT and Lantau taxis with effect from 14 July 2024, as follows –

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(a) an increase of $2 in flagfall charge;

(b) an increase of $0.2 per jump in the incremental charge for the first-tier distance[1] after flagfall; and

(c) an increase of $0.1 per jump in the incremental charge for the second-tier distance[2] after flagfall.

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[1] Under the Government's proposed scale of fares, the incremental charge for the first-tier distance applies to each jump per 200 metres (m) or every one minute not in motion travelled for –
(a) 2 to 9 kilometres (km) for urban taxis (or until the chargeable amount reaches $102.5);
(b) 2 to 8 km for NT taxis (or until the chargeable amount reaches $82.5); and
(c) 2 to 20 km for Lantau taxis (or until the chargeable amount reaches $195).

[2] Under the Government's proposed scale of fares, the incremental charge for the second-tier distance applies to each jump per 200 m or every one minute not in motion travelled for –
(a) after 9 km for urban taxis (or after the chargeable amount reaches $102.5);
(b) after 8 km for NT taxis (or after the chargeable amount reaches $82.5); and
(c) after 20 km for Lantau taxis (or after the chargeable amount reaches $195).

## JUSTIFICATIONS

## (A) Government's Consideration

2. Taxis provide personalised point-to-point public transport service. In recent years, there have been calls from both the community and the taxi trade for the Government to implement initiatives to enhance the quality and sustainability of taxi services. In view of the expectation of the general public and the requests from the taxi trade, the Government had earlier on reviewed the overall taxi operation and management, and launched a series of measures with a view to enhancing the overall quality of personalised point-to-point transport services and promoting the healthy development of the taxi industry in the long run. Such measures include introducing a taxi fleet regime, increasing the maximum passenger seating capacity of taxis from five to six, and introducing a Taxi-Driver-Offence Points (TDOP) system and a two-tier penalty system for certain taxi-driver-related offences. The relevant bills[3] were passed by the Legislative Council (LegCo) in mid-December 2023 and gazetted on 22 December 2023. It is expected that the implementation of the above measures (the latest progress of which is elaborated in paragraphs 18 to 19 below) will help enhance the service quality and overall image of the taxi trade, thereby increasing the patronage and attracting more newcomers to join the industry. Apart from these measures, it is also important to review the taxi fares and the financial viability of taxi operation at appropriate junctures in order to ensure the healthy development of the taxi trade in the long run and maintain a stable supply of taxi services to cater for passengers' needs.

3. The established policy is to consider taxi fare increase applications in accordance with the following five key criteria –

(a) the need to ensure the financial viability of taxi operation, taking into consideration changes in revenue and operating costs;

(b) the need to maintain an acceptable level of taxi service in terms of vehicle availability, passenger waiting time and passengers' feedback on service;

(c) the need to maintain a reasonable differential between taxi fares and

[3] Namely, the Road Traffic Legislation (Enhancing Personalized Point-to-point Transport Services) (Amendment) Bill 2023 and the Taxi-Driver-Offence Points Bill.

those of other public transport modes[4];

(d) the public acceptability of the proposed fares; and

(e) the principle that taxi fare structure should be "front-loaded" and thereafter on a varying descending scale for incremental charges.

4. The scale of fares for the hiring of taxis is specified in Schedule 5 to the Road Traffic (Public Service Vehicles) Regulations (Cap. 374 sub. leg. D) (the principal Regulations). It may be amended by the Chief Executive in Council, subject to negative vetting by the LegCo.

## (B) The Applications from the Taxi Trades

5. The urban, NT and Lantau taxi trades reached a consensus on their respective fare increase applications[5] in March 2023 for raising flagfall charges and subsequent incremental charges. The urban taxi trade also asked for the shortening of the waiting time[6] for each incremental charge. Details of the trade's applications are set out as follows –

| | **Urban Taxis** | **NT Taxis** | **Lantau Taxis** |
|---|---|---|---|
| | **Flagfall charge (for the first 2 km or any part thereof)** | | |
| **Existing fare** | $27 | $23.5 | $22 |
| **The trade's proposal** | $32 (+$5) | $28 (+$4.5) | $28 (+$6) |

[4] Fare differential refers to the ratio of the fare level of taxis to that of other public transport modes. Based on the advice of the Transport Advisory Committee (TAC), it has been an established practice to maintain the fare differential between urban taxis and other public transport modes at five to seven times, and that between NT taxis and other public transport modes at three to four times. There is no fare differential set for Lantau taxis given the small number of taxis involved and that the intra-district transportation within Lantau relies on buses and taxis.

[5] Different taxi associations had submitted various fare increase proposals to the Transport Department (TD) between November 2022 and January 2023. They later informed the TD in March 2023 that the proposal set out under paragraph 5 was the one agreed by the trade.

[6] Currently, there is a charge for every one minute that a hired taxi is not in motion: the charge per minute is equivalent to the incremental charge for each 200 m travelled after flagfall.

| | Urban Taxis | NT Taxis | Lantau Taxis |
|---|---|---|---|
| | **Incremental charges for each 200 m travelled (i.e. per jump) after flagfall[7]** | | |
| **Existing fare** | **2 to 9 km** | **2 to 8 km** | **2 to 20 km** |
| | $1.9 per jump | $1.7 per jump | $1.7 per jump |
| **The trade's proposal** | $2.1 per jump (+$0.2) | $1.9 per jump (+$0.2) | $1.8 per jump (+$0.1) |
| **Existing fare** | **After 9 km** | **After 8 km** | **After 20 km** |
| | $1.3 per jump | $1.3 per jump | $1.5 per jump |
| **The trade's proposal** | $1.5 per jump (+$0.2) | $1.5 per jump (+$0.2) | $1.7 per jump (+$0.2) |
| | **Waiting time** | | |
| **Existing arrangement** | 60 seconds | | |
| **The trade's proposal** | 45 seconds (-15 seconds) | No change | |
| **Average rate of increase[8] under the trade's proposal** | 16.95% | 15.37% | 11.68% |
| **Weighted average rate of increase under the trade's proposal** | 16.68% | | |

6. In addition, the urban and NT taxi trades applied for an increase in

7 This also applies to the charge for every one minute that a hired taxi is not in motion.

8 The average rate of fare increase is worked out on the basis of the average meter revenue figures obtained from the taximeter reading surveys conducted by the TD. Each rate is derived from summing up the changes due to the relevant fare increase in every trip length segment of the trip length distribution spectrum of a taxi of the type concerned, on the assumption that there is no change in the trip distribution of the taxi after the fare increase. Even with the same amount of flagfall increase, the average rate of fare increase for the three types of taxis would be different because of the difference in their respective trip length distributions.

additional fare of $1 for every article of baggage carried (i.e. from $6 to $7) and $2 for every animal or bird carried (i.e. from $5 to $7). As for Lantau taxi trade, it applied for an increase in additional fare of $2 for every article of baggage carried (i.e. from $6 to $8), $3 for every animal or bird carried (i.e. from $5 to $8), and $3 for every hiring arranged through telephone booking (i.e. from $5 to $8).

## (C) Operation Status of the Taxi Trade

7. At present, there are a total of 18 163 taxis, among which 15 250 are urban taxis, 2 838 are NT taxis and 75 are Lantau taxis. As at the end of January 2024, about 59% of taxis are owned by individuals whilst the remaining are owned by companies. The taxi trade mainly consists of rentee-drivers, rentor-owners and owner-drivers[9]. The TD conducts regular taximeter reading surveys, obtains the price of Liquefied Petroleum Gas (LPG) from the LPG suppliers, and collects information on taxi drivers' operation through questionnaire surveys. Furthermore, the TD gathers taxi operating data from taxi owners and trade associations through questionnaire surveys[10].

8. After the last taxi fare increase which took effect in July 2022[11], taxi operation had still been affected by the epidemic for certain months and the overall public transport patronage only gradually recovered since the re-opening of the border with the Mainland in February 2023. In view of this, instead of comparing the operation in 2023 with that of 2022, during which the taxi operating data could be distorted by the unstable operating environment, comparisons were made between the situation in 2019 (i.e. pre-epidemic) and 2023 so as to reflect more accurately the actual operation status of the taxi trade at present.

## (D) Justifications and Analyses

9. The table below compares the average monthly net income of rentee-drivers, owner-drivers and rentor-owners of the three types of taxis in 2023 with that in 2019. As can be seen from the table, except for urban and

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9 Rentee-drivers hire taxis from taxi owners. Owner-drivers own and drive the taxis themselves; some also rent their taxis out to rentee-drivers for one shift. Rentor-owners do not drive their taxis but rent them out to rentee-drivers.

10 Apart from gathering data on taxi operation (including rental, maintenance fee and administration fee) through questionnaire surveys, the TD also makes reference to the vehicle mileage obtained from taximeter reading surveys to project the fuel cost.

11 The fares for urban, NT and Lantau taxis were last increased in July 2022 by the average rates of 11.54%, 13.02% and 13.83% respectively.

NT rentee-drivers, all other taxi operators experienced a drop in net income in real terms after netting off inflation, with the income of rentor-owners dropping particularly sharply.

| | Average monthly net income | | Change in percentage (i.e. (b) compared with (a)) | |
|---|---|---|---|---|
| | **2019 (a)** | **2023 (b)** | **Change in nominal terms** | **Change in real terms after netting off inflation**[12] |
| **Rentee-driver** | | | | |
| Urban | $19,359 | $21,767 | +12.4% | +6.2% |
| NT | $17,872 | $19,079 | +6.8% | +0.8% |
| Lantau | $20,283 | $20,896 | +3.0% | -2.7% |
| **Owner-driver** | | | | |
| Urban | $30,638 | $28,296 | -7.7% | -12.8% |
| NT | $25,817 | $24,686 | -4.4% | -9.7% |
| Lantau | $28,900 | $27,570 | -4.6% | -9.9% |
| **Rentor-owner** | | | | |
| Urban | $11,740 | $6,429 | -45.2% | -48.3% |
| NT | $7,380 | $4,437 | -39.9% | -43.2% |
| Lantau | $8,569 | $6,105 | -28.8% | -32.7% |

The data of the respective operating costs and revenue of the three types of taxis are set out at **Annex B**.

B

10. For **rentee-drivers**, the daily meter revenue of urban and NT taxis in 2023 increased by about 0.5% to 1.1% in real terms as compared with the 2019 level, while that of Lantau taxis dropped by about 5%. As for cost expenses, the fuel cost in 2023 increased by about 19% to 35% as compared with that of 2019, whereas taxi rental decreased by about 2% to 12%. In sum, the average monthly net income of rentee-drivers of urban and NT taxis in 2023 increased by about **6.2%** and **0.8%** respectively as compared with that in 2019 after netting off inflation, while that of rentee-drivers of Lantau taxis dropped by about **2.7%**. In terms of absolute value, the average monthly net income of rentee-drivers in 2023 was around $19,100 to $21,800, which was lower than the average monthly salary of the transport trade in the fourth quarter of 2023 (i.e. $24,800) as announced by the Census and Statistics Department.

[12] As compared with 2019, the Composite Consumer Price Index (CCPI), which measures inflation in the consumer domain, rose by 5.9% in 2023.

11. As for **taxi owners**, the operating expenses in 2023 have risen significantly from the 2019 level, including a surge of nearly 60% in insurance premiums and an average increase of about 30% in repair and maintenance fees. This has greatly increased the operating costs of and financial burden on taxi owners. On the other hand, to avoid idling of taxis, taxi owners could only rent out their taxis at rates lower than those of 2019[13]. With the surging operating costs and shrinking rental income, the average monthly net income of rentor-owners and owners-drivers in 2023 decreased by about **33%** to **48%** and **10%** to **13%** respectively as compared with that in 2019 after netting off inflation.

12. As shown from the above data, the taxi trade is facing genuine difficulty in maintaining the financial viability of its operation at the current taxi fare level. The taxi trade is of the view that an increase in taxi fares would raise the income of front-line drivers and attract more newcomers to join the industry, whilst at the same time encouraging the trade to improve their services and invest more in new facilities, thereby enhancing the overall taxi service quality and fostering the healthy development of the trade in the long run.

13. Having regard to the above, we consider that there is a case to increase the fares for urban, NT and Lantau taxis. Nevertheless, we are of the view that the proposed increases by the taxi trade are on the high side and would be difficult to be accepted by the public. According to the trade's proposals, the average rates of increase for urban, NT and Lantau taxis would be 16.95%, 15.37% and 11.68% respectively. These rates are much higher than the forecast inflation rate of 4.7%[14] (comparing the 12-month period counting from the third quarter of 2024 with the first 12-month period after the last fare increase in July 2022), or the 5.3% increase in Median of Monthly Household Income between the third quarter of 2022 and the fourth quarter of 2023.

14. Having considered the relevant factors, the Government's recommendation as approved by the Chief Executive in Council is as follows –

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[13] In 2023, the average rental for urban, NT and Lantau taxis were about 88%, 98% and 94% of the 2019 level respectively.

[14] There is no official forecast on CCPI for a specific quarter. The Government has derived the cumulative rate of change in CCPI from the first 12 months after the last fare increase in the third quarter of 2022 up to the 12-month period starting from the third quarter of 2024, by assuming 2.4% annual inflation rate for 2024, and a 2.5% annual inflation rate for 2025, with reference to the official inflation forecasts as announced in the 2024-25 Budget. Reference has also been made to the CCPI between the third quarter of 2022 and the fourth quarter of 2023, which increased by about 3.2%.

| | Urban Taxis | NT Taxis | Lantau Taxis |
|---|---|---|---|
| **Flagfall charge** | \$29<br>(+\$2) | \$25.5<br>(+\$2) | \$24<br>(+\$2) |
| **Incremental charge for the first-tier distance after flagfall** | \$2.1 per jump<br>(+\$0.2) | \$1.9 per jump<br>(+\$0.2) | \$1.9 per jump<br>(+\$0.2) |
| **Incremental charge for the second-tier distance after flagfall** | \$1.4 per jump<br>(+\$0.1) | \$1.4 per jump<br>(+\$0.1) | \$1.6 per jump<br>(+\$0.1) |
| **Average rate of increase** | 8.86% | 9.56% | 10.92% |
| **Weighted average rate of increase** | 8.98% | | |

15. It is the Government's policy to maintain a reasonable fare differential between taxis and other modes of public transport having regard to the nature of services of the former being point-to-point personalised public transport service, and to avoid excessive demand for taxi services and to ensure smooth traffic flow in view of its lower carrying capacity. The fare differentials under the Government's proposal are within or close to the established practice as per the TAC's advice (i.e. five to seven times for urban taxis and three to four times for NT taxis). Details are set out as follows –

| | **Fare differentials between taxis and other modes of public transport** | | |
|---|---|---|---|
| | **Urban** | **NT** | **Lantau** |
| Existing level (2023) | 6.17 | 4.32 | 6.23 |
| Under the trade's proposal | 6.95 | 4.81 | 6.71 |
| Under Government's proposal | 6.47 | 4.57 | 6.66 |

16. For the trade's other proposals, we propose not to accept them due to the following considerations –

(a) Shortening waiting time (requested by urban taxi trade): We propose not to accept the urban taxi trade's proposal to shorten the waiting time from 60 seconds to 45 seconds. Under the Government's proposal, there will be an increase in the incremental charges, which means that the waiting time charge will correspondingly increase by the same level. This is already a compensation for taxi drivers for

waiting in congested areas. There is no need for, in effect, a double increase.

(b) Additional fares for every article of baggage carried and for every animal or bird carried (requested by all taxi trades): We propose not to accept the trades' proposal[15], as no particular trend for taxi passengers to carry baggage, animal or bird has been observed so far to justify any change in the additional fares.

(c) Additional fare for every hiring arranged through telephone booking (requested by Lantau taxi trade): We propose not to accept the Lantau taxi trade's proposal to increase the additional fare for every hiring arranged through telephone booking by $3 from $5 to $8. The proposal deviates from the existing arrangements for the urban and NT taxis, and we see no reason why Lantau taxis should charge passengers differently.

## OTHER ISSUES

### *Taxi Rental*

17. There are concerns about how taxi rental will change after the adjustment of taxi fares. Taxi rental has all along been a commercial arrangement between owners and drivers under a free market. The rental level fluctuates with the market supply and demand, and is affected by other factors such as the vehicle types, age and maintenance condition of individual taxis. Generally, taxi owners will observe the changes in business and drivers' income during the initial period of taxi fare adjustment, before discussing rental adjustment with drivers' groups having regard to the actual market situation. Take the last taxi fare increase as an example. Although taxi owners gradually raised the taxi rental after the fare increase in July 2022, the rental has not yet resumed to the 2019 level to date. This shows that, in adjusting taxi rental, taxi owners will consider relevant factors including the acceptability of drivers and the manpower supply in the trade.

### *Enhancing Taxi Service Quality*

18. The Government has already launched a series of measures to enhance the overall quality of taxi services, among which include the

[15] The urban and NT taxi trades applied for an increase in additional fare of $1 for every article baggage carried (i.e. from $6 to $7) and $2 for every animal or bird carried (i.e. from $5 to $7). The Lantau taxi trade applied for an increase in additional fare of $2 for every article baggage carried (i.e. from $6 to $8) and $3 for every animal or bird carried (i.e. from $5 to $8).

introduction of a taxi fleet regime. Under this new regulatory regime, taxi owners may assemble existing taxis to form fleets and apply to the TD for a Taxi Fleet Licence. The TD will monitor the performances of fleet licensees through statutory requirements and licence conditions, and require them to fulfill various requirements on fleet taxis and drivers, such as installing driving safety enhancing devices and passenger facilities on fleet taxis, providing online booking channels and arranging pre-service training for taxi drivers. The TD has issued the invitation for applications for Taxi Fleet Licences on 12 April 2024 with a view to announcing the results in mid-2024. Taking into account the time needed for setting up a taxi fleet, which involves purchasing vehicles and carrying out necessary modifications, recruiting staff and training drivers, procuring insurance and so forth, we will require taxi fleet operators to commence operation in not more than 12 months after the grant of Taxi Fleet Licences (i.e. no later than mid-2025). We will proactively encourage and assist the trade to form their fleets and commence operation as early as practicable.

19. As for the other measures, with the increase of the maximum passenger seating capacity of a taxi to six, some members of the trade indicated that they had already made plans to introduce six-passenger seater taxis so as to enhance the comfort of the vehicles and the ride experience of passengers. On stepping up efforts to combat taxi drivers' malpractice, the two-tier penalty system, which targets at four offences that are of a more serious nature (covering overcharging, two offences relating to refusal to accept a hire, as well as defacing, damaging or altering a taximeter), is already in force[16], and the TDOP system will take effect on 22 September this year[17]. These two measures will help combat the black sheep of the trade, thereby improving the overall image and service quality of the taxi trade.

20. During the scrutiny of the taxi-related bills by the LegCo last year, some LegCo Members opined that the Government should further consider requiring all taxis in Hong Kong to be installed with camera system in the compartment, so as to better safeguard the rights of taxi drivers and passengers in case of disputes, as well as to facilitate law enforcement and evidence collection by the Police. In this connection, we have commenced a feasibility study, and plan to consult the taxi trade within this year with a view to reaching a consensus on whether this mandatory measure should be implemented.

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[16] The two-tier penalty system took effect on the date of gazettal of the Road Traffic Legislation (Enhancing Personalized Point-to-point Transport Services) (Amendment) Ordinance 2023 (34 of 2023), i.e. 22 December 2023.

[17] Before the commencement of the TDOP system, the TD will further explain in detail the implementation details of the legislation to the taxi trade, so as to facilitate the trade in grasping the operation of the TDOP system.

***Improving Driving Safety of Taxis***

21. As mentioned above, taxi insurance premiums increased sharply between 2019 and 2023. The underwriting decisions and determination of the premium level are made by insurance companies based on commercial principles in entering into policy contracts with the policyholders and through adjustments in the free market. Premium levels of taxi insurance reflect the risk associated with underwriting taxi business, which are affected by factors including taxi accident rates, claims history, etc. The underwriting loss recorded in the taxi insurance business over the years reflects a mismatch between underwriting risks and premium levels.

22. The Sixth LegCo formed a Joint Subcommittee on Issues Relating to Insurance Coverage for the Transport Sector (the Subcommittee) in January 2021 to explore the problems encountered by the taxi trade when procuring motor insurance. The Subcommittee suggested the taxi trade to adopt measures to strengthen the management of taxis and improve driving safety of taxi drivers. To promote the work in this respect, the Government and the Insurance Authority have been following up on the implementation of the Subcommittee's recommendations and actively meeting with the representatives of the taxi trade and insurance sector to discuss issues relating to the application of technology to improve the risk management of taxis, etc. The Government has also been supportive of the taxi trade in enhancing the safety standard of their services and improving management quality, so as to reduce the risks associated with underwriting taxi insurance at source. It is understood that at present, there are insurance companies offering discounts on insurance premiums and lower deductibles, etc., so as to encourage the installation of technological devices in taxis in enhancing driving safety and the reporting of drivers' information and so forth.

23. Moreover, upon commencement of taxi fleet operation, the professional fleet management of fleet taxis, together with the installation of safety-related devices (including global positioning system, dash cameras and safety devices that monitor drivers' driving performance) in fleet taxis by fleet operators, should be conducive to reducing traffic accidents at source. The Government also believes that fleet taxis would set a leading and exemplary role in the trade, thereby encouraging more taxis to apply technology to improve driving safety and creating room for reduction in premiums and improvement in the operation of taxis.

## THE AMENDMENT REGULATION

24. The Amendment Regulation amends the scale of fares of the urban, NT and Lantau taxis specified in items 1, 2, 2a and 3 of Schedule 5 to the principal Regulations (see **Annex A**) to give effect to the fare increases as set out in paragraph 1 above.

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## LEGISLATIVE TIMETABLE

25. The legislative timetable is as follows –

| | |
|---|---|
| Publication in the Gazette | 17 May 2024 |
| Tabling at the LegCo for negative vetting | 22 May 2024 |
| Commencement date | 14 July 2024 |

## IMPLICATIONS OF THE PROPOSAL

26. The sustainability, economic and family implications of the proposal are set out at **Annex C**. It has no civil service, financial, productivity, environmental or gender implications. The proposal is in conformity with the Basic Law, including the provisions concerning human rights. The Amendment Regulation will not affect the current binding effect of the Ordinance and the principal Regulations.

C

## PUBLIC CONSULTATION

27. We consulted the Panel on Transport of LegCo on the taxi trade's fare increase applications on 12 April 2024. Quite a number of the Members noted the difficult business environment faced by the taxi trade and considered it not unreasonable to increase taxi fares. Nevertheless, they considered the rates of fare increase proposed by the taxi trade were too high to be acceptable to the public, and expected the Government to perform its gatekeeping role to contain the rates of increase at a reasonable level. Some Members considered that the taxi trade should display greater efforts to improve the quality of taxi service and driving safety in order to justify the increase in taxi fares. A few members were also concerned that the taxi owners, instead of the frontline drivers, would benefit from the fare increase as the owners would increase the rental after the taxi fare increase.

28. We also consulted the TAC on 16 April 2024. The TAC acknowledged that there were reasonable grounds for increasing taxi fares and supported the Government's proposal of increasing the flagfall charge by $2, the incremental charge for the first-tier distance after flagfall by $0.2 and the incremental charge for the second-tier distance after flagfall by $0.1, noting that such level of fare increase would help increase the real income of frontline drivers and the recommended rate had taken into account public acceptability. The detailed advice of TAC is set out in its letter, at **Annex D**, to the Secretary for Transport and Logistics.

D

## PUBLICITY

29. A press release will be issued on 14 May 2024. A spokesperson will be available to handle media enquiries.

## ENQUIRIES

30. Any enquiries on this brief can be addressed to Miss Joyce KOK, Principal Assistant Secretary for Transport and Logistics, at 3509 8214; or Ms Louisa FUNG, Assistant Commissioner for Transport, at 3842 5513.

**Transport and Logistics Bureau**
**14 May 2024**

# Road Traffic (Public Service Vehicles) (Amendment) Regulation 2024

(Made by the Chief Executive in Council under section 7(1C) of the Road Traffic Ordinance (Cap. 374))

**1. Commencement**

This Regulation comes into operation on 14 July 2024.

**2. Road Traffic (Public Service Vehicles) Regulations amended**

The Road Traffic (Public Service Vehicles) Regulations (Cap. 374 sub. leg. D) are amended as set out in section 3.

**3. Schedule 5 amended (taxi fares)**

(1) Schedule 5, item 1(A)—

**Repeal**

"$27.00"

**Substitute**

"$29.00".

(2) Schedule 5, item 1(B)—

**Repeal**

"$1.90"

**Substitute**

"$2.10".

(3) Schedule 5, item 1(B)—

**Repeal**

"$93.50"

**Substitute**



"$102.50".

(4) Schedule 5, item 1(C)—

**Repeal**

"$1.30"

**Substitute**

"$1.40".

(5) Schedule 5, item 1(C)—

**Repeal**

"$93.50"

**Substitute**

"$102.50".

(6) Schedule 5, item 2(A)—

**Repeal**

"$22.00"

**Substitute**

"$24.00".

(7) Schedule 5, item 2(B)—

**Repeal**

"$1.70"

**Substitute**

"$1.90".

(8) Schedule 5, item 2(B)—

**Repeal**

"$175.00"

**Substitute**

"$195.00".

(9) Schedule 5, item 2(C)—

**Repeal**

"$1.50"

**Substitute**

"$1.60".

(10) Schedule 5, item 2(C)—

**Repeal**

"$175.00"

**Substitute**

"$195.00".

(11) Schedule 5, item 2a(A)—

**Repeal**

"$23.50"

**Substitute**

"$25.50".

(12) Schedule 5, item 2a(B)—

**Repeal**

"$1.70"

**Substitute**

"$1.90".

(13) Schedule 5, item 2a(B)—

**Repeal**

"$74.50"

**Substitute**

"$82.50".

(14) Schedule 5, item 2a(C)—



**Repeal**

"$1.30"

**Substitute**

"$1.40".

(15) Schedule 5, item 2a(C)—

**Repeal**

"$74.50"

**Substitute**

"$82.50".

(16) Schedule 5, item 3(i)(A)—

**Repeal**

"$1.90"

**Substitute**

"$2.10".

(17) Schedule 5, item 3(i)(A)—

**Repeal**

"$93.50"

**Substitute**

"$102.50".

(18) Schedule 5, item 3(i)(B)—

**Repeal**

"$1.30"

**Substitute**

"$1.40".

(19) Schedule 5, item 3(i)(B)—

**Repeal**

"$93.50"

**Substitute**

"$102.50".

(20) Schedule 5, item 3(ii)(A)—

**Repeal**

"$1.70"

**Substitute**

"$1.90".

(21) Schedule 5, item 3(ii)(A)—

**Repeal**

"$175.00"

**Substitute**

"$195.00".

(22) Schedule 5, item 3(ii)(B)—

**Repeal**

"$1.50"

**Substitute**

"$1.60".

(23) Schedule 5, item 3(ii)(B)—

**Repeal**

"$175.00"

**Substitute**

"$195.00".

(24) Schedule 5, item 3(iii)(A)—

**Repeal**

"$1.70"



**Substitute**

"$1.90".

(25) Schedule 5, item 3(iii)(A)—

**Repeal**

"$74.50"

**Substitute**

"$82.50".

(26) Schedule 5, item 3(iii)(B)—

**Repeal**

"$1.30"

**Substitute**

"$1.40".

(27) Schedule 5, item 3(iii)(B)—

**Repeal**

"$74.50"

**Substitute**

"$82.50".

Clerk to the Executive Council

COUNCIL CHAMBER

2024



## Explanatory Note

This Regulation amends the Road Traffic (Public Service Vehicles) Regulations (Cap. 374 sub. leg. D) (***principal Regulations***) to adjust certain fares specified in Schedule 5 to the principal Regulations. Under the adjustment—

(a) for taxis licensed to operate in Hong Kong and Kowloon—

(i) the fare for the first 2 kilometres is increased from $27.00 to $29.00; and

(ii) the fare for every further 200 metres and the fare for waiting time for every 1 minute are each increased from $1.90 to $2.10 until reaching $102.50 (the current corresponding amount of which is $93.50), and from $1.30 to $1.40 after reaching $102.50;

(b) for taxis licensed to operate within Lantau—

(i) the fare for the first 2 kilometres is increased from $22.00 to $24.00; and

(ii) the fare for every further 200 metres and the fare for waiting time for every 1 minute are each increased from $1.70 to $1.90 until reaching $195.00 (the current corresponding amount of which is $175.00), and from $1.50 to $1.60 after reaching $195.00; and

(c) for taxis licensed to operate in the New Territories—

(i) the fare for the first 2 kilometres is increased from $23.50 to $25.50; and

(ii) the fare for every further 200 metres and the fare for waiting time for every 1 minute are each increased from $1.70 to $1.90 until reaching $82.50 (the current corresponding amount of which is $74.50), and from $1.30 to $1.40 after reaching $82.50.

**Annex B**

# Monthly average operating revenue, costs and net income of taxi operators in 2019 and 2023

## Operating data of urban taxis

| | Rentee-driver | Owner-driver | Rentor-owner |
|---|---|---|---|
| **(a) Average monthly operating revenue** | | | |
| 2019 | $33,500 | $43,976 | $20,941 |
| 2023 | $35,641 | $44,854 | $18,421 |
| *Change over 2019*[1] | *+6.4%* | *+2.0%* | *-12.0%* |
| *(Change in real terms after netting off inflation*[2]*)* | *(+0.5%)* | *(-3.7%)* | *(-17.0%)* |
| **(b) Average monthly operating costs**[3] | | | |
| 2019 | $14,141 | $13,338 | $9,201 |
| 2023 | $13,874 | $16,558 | $11,992 |
| *Change over 2019* | *-1.9%* | *+24.1%* | *+30.3%* |
| *(Change in real terms after netting off inflation)* | *(-7.4%)* | *(+17.2%)* | *(+23.1%)* |
| **(c) Average monthly net income** | | | |
| 2019 | $19,359 | $30,638 | $11,740 |
| 2023 | $21,767 | $28,296 | $6,429 |
| *Change over 2019* | *+12.4%* | *-7.7%* | *-45.2%* |
| *(Change in real terms after netting off inflation)* | *(+6.2%)* | *(-12.8%)* | *(-48.3%)* |

1 This is the nominal change (i.e. without taking into account inflation) compared with the average monthly operating figures of 2019.

2 As compared with 2019, the Composite Consumer Price Index, which measures inflation in the consumer domain, rose by 5.9% in 2023.

3 For rentee-drivers, their monthly operating costs comprise fuel and rental.
For owner-drivers, their monthly operating costs comprise fuel, vehicle maintenance, administration fee, insurance, depreciation and miscellaneous items like licence fees.
For rentor-owners, their monthly operating costs comprise vehicle maintenance, administration fee, insurance, depreciation and miscellaneous costs such as licence fees.

**Operating data of New Territories taxis**

| | Rentee-driver | Owner-driver | Rentor-owner |
|---|---|---|---|
| **(a) Average monthly operating revenue** | | | |
| 2019 | $29,667 | $37,728 | $16,121 |
| 2023 | $31,766 | $39,681 | $15,823 |
| *Change over 2019* | *+7.1%* | *+5.2%* | *-1.9%* |
| *(Change in real terms after netting off inflation)* | *(+1.1%)* | *(-0.7%)* | *(-7.3%)* |
| **(b) Average monthly operating costs** | | | |
| 2019 | $11,795 | $11,911 | $8,741 |
| 2023 | $12,687 | $14,995 | $11,386 |
| *Change over 2019* | *+7.6%* | *+25.9%* | *+30.3%* |
| *(Change in real terms after netting off inflation)* | *(+1.6%)* | *(+18.9%)* | *(+23.0%)* |
| **(c) Average monthly net income** | | | |
| 2019 | $17,872 | $25,817 | $7,380 |
| 2023 | $19,079 | $24,686 | $4,437 |
| *Change over 2019* | *+6.8%* | *-4.4%* | *-39.9%* |
| *(Change in real terms after netting off inflation)* | *(+0.8%)* | *(-9.7%)* | *(-43.2%)* |

**Operating data of Lantau taxis**

| | Rentee-driver | Owner-driver | Rentor-owner |
|---|---|---|---|
| **(a) Average monthly operating revenue** | | | |
| 2019 | $34,928 | $44,873 | $19,320 |
| 2023 | $35,140 | $44,489 | $18,162 |
| *Change over 2019* | *+0.6%* | *-0.9%* | *-6.0%* |
| *(Change in real terms after netting off inflation)* | *(-5.0%)* | *(-6.4%)* | *(-11.2%)* |
| **(b) Average monthly operating costs** | | | |
| 2019 | $14,645 | $15,973 | $10,751 |
| 2023 | $14,244 | $16,919 | $12,057 |
| *Change over 2019* | *-2.7%* | *+5.9%* | *+12.1%* |
| *(Change in real terms after netting off inflation)* | *(-8.2%)* | *(0%)* | *(+5.9%)* |
| **(c) Average monthly net income** | | | |
| 2019 | $20,283 | $28,900 | $8,569 |
| 2023 | $20,896 | $27,570 | $6,105 |
| *Change over 2019* | *+3.0%* | *-4.6%* | *-28.8%* |
| *(Change in real terms after netting off inflation)* | *(-2.7%)* | *(-9.9%)* | *(-32.7%)* |

**Annex C**

## Sustainability, Economic and Family Implications

### Sustainability Implications

The proposal helps relieve the mounting pressure brought by increasing operating costs being faced by taxi operators and improve the financial viability of taxi operation. Nevertheless, the proposed fare increases would bring extra cost to taxi passengers, in particular to those middle-income groups who use taxi services more frequently.

### Economic Implications

2. With taxi fares' weighting in CCPI at 0.34%, the proposed increases in flagfall charge and subsequent incremental charge for the urban, NT and Lantau taxis with effect from 14 July 2024 are expected to have a negligible impact on the underlying CCPI inflation, estimated at 0.01 percentage point in 2024, and 0.02 percentage point in 2025. The impact would vary slightly among the three underlying Consumer Price Index (CPI) sub-indices[1], ranging from 0.01 percentage point for CPI(A) to 0.02 percentage point for CPI(C) in both 2024 and 2025.

### Family Implications

3. Since the proposal may bring additional income to some frontline taxi drivers, it may have positive implications to the financial abilities of their families. While it may bring extra cost to taxi passengers, in particular those middle-income families who may use taxi services more frequently, the impact should be mild.

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[1] The CPI(A), CPI(B) and CPI(C) are compiled based on the expenditure patterns of households in the relatively low, medium and relatively high expenditure ranges respectively. The average monthly household expenditure (in HK$) of these groups during the base period (i.e. October 2019 – September 2020) were $6,500 to $27,999, $28,000 to $48,499, and $48,500 to $91,999 respectively.

交通諮詢委員會
TRANSPORT ADVISORY COMMITTEE

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25 April 2024

Mr LAM Sai-hung, GBS, JP
Secretary for Transport and Logistics
22/F, East Wing, Central Government Offices
2 Tim Mei Avenue
Tamar
Hong Kong

Dear Mr Lam,

## Taxi Fare Increase Applications

The urban, New Territories ("NT") and Lantau taxi trade reached a consensus on their respective fare increase applications in March 2023, requesting for an increase in the flagfall charges, incremental charges after flagfall, as well as several additional fares; the urban taxi also asked for shortening the waiting time[1]. According to the proposal put forward by the trades, the average fare increase rates are 16.95% for urban taxis, 15.37% for NT taxis, and 11.68% for Lantau taxis. The applications were considered by the Transport Advisory Committee ("TAC") at its meeting held on 16 April 2024. This letter sets out TAC's advice.

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[1] Different taxi associations had submitted various fare increase proposals to the Transport Department ("TD") between November 2022 and January 2023. They later informed the TD in March 2023 that the following were the proposals agreed by the urban, NT and Lantau taxi trades –
(a) increasing the flagfall charge by $5, $4.5 and $6 respectively;
(b) increasing the incremental charges for the first-tier distance after flagfall by $0.2, $0.2 and $0.1 respectively, and those for the second-tier distance after flagfall by $0.2, $0.2 and $0.2 respectively;
(c) increasing the additional fare for every animal or bird carried ($2 increase for urban and NT taxis; and $3 increase for Lantau taxis);
(d) increasing the additional fare for every article of baggage carried ($1 increase for urban and NT taxis; and $2 increase for Lantau taxis);
(e) For urban taxis, shortening the waiting time for a hired taxi which is not in motion from 60 seconds to 45 seconds per jump; and
(f) For Lantau taxis, increasing the additional fare for every hiring arranged through telephone booking by $3.

*Basis of TAC's consideration*

2. When considering the applications, TAC acknowledged that taxis provided a personalised point-to-point public transport service, and that the established policy was to consider taxi fare increase applications in accordance with the following major criteria –

(a) the need to ensure the financial viability of taxi operation, taking into consideration changes in revenue and operating costs;

(b) the need to maintain an acceptable level of taxi service in terms of vehicle availability, passenger waiting time and passengers' feedback on service;

(c) the need to maintain a reasonable differential between taxi fares and those of other public transport modes[2];

(d) public acceptability of the proposed fares; and

(e) taxi fare structure which should be "front-loaded" and thereafter on a varying descending scale for incremental charges.

*Latest operation status of the taxi trade*

3. TAC Members noted that, after netting off inflation, the daily meter revenue of rentee-drivers of urban and NT taxis in 2023 increased by about 0.5% to 1.1% as compared with that in 2019 (i.e. pre-epidemic), while that of rentee-drivers of Lantau taxis dropped by about 5%. As for cost expenses, the fuel cost in 2023 increased by about 19% to 35% as compared with that of 2019, whereas taxi rental decreased by about 2% to 12%. In sum, as compared with 2019, after netting off inflation, the average monthly net income of rentee-drivers of urban and NT taxis slightly increased by about 6.2% and 0.8% respectively, while that of rentee-drivers of Lantau taxis dropped by about 2.7%. In terms of absolute value, the average monthly net income of rentee-drivers in 2023 was around $19,100 to $21,800, which was lower than the average monthly salary of the transport trade in the fourth quarter of 2023 (i.e. $24,800) as announced by the Census and Statistics Department.

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[2] TAC's advice on the fare differential between taxis and other modes of public transport is five to seven times for urban taxis and three to four times for NT taxis.

4. As for taxi owners, TAC Members noted that the operating expenses in 2023 have risen significantly from the 2019 level, including a surge of nearly 60% in insurance premiums and an average increase of about 30% in repair and maintenance fees, which resulted in a significant increase in the operating costs and financial burden of taxi owners. On the other hand, to avoid idling of taxis, taxi owners could only rent out their taxis at rates lower than those of 2019. The surging operating costs, coupled with shrinking rental income, led to a plunge in the average monthly net income (after netting off inflation) of rentor-owners and owner-drivers in 2023 as compared with that in 2019. The average monthly net income of rentor-owners and owners-drivers decreased by about 33% to 48% and 10% to 13% respectively.

5. TAC Members noted from the data above that the taxi trade might find it difficult to maintain the financial viability of their operation at the current taxi fare level. TAC Members also noted that the trade hoped that the increase in taxi fares would raise the income of front-line drivers and attract more newcomers to join the industry, whilst at the same time encouraging the trade to improve their services and invest more in new facilities, thereby enhancing the overall taxi service quality and fostering the healthy development of the taxi trade in the long run.

*TAC's advice*

6. Having balanced the various factors, TAC members acknowledged that there were reasonable grounds to increase the fares for urban, NT and Lantau taxis, but at a rate lower than the trades' proposals. According to the proposals of the trades, the average rates of the fare increase are 16.95% for urban taxis, 15.37% for NT taxis and 11.68% for Lantau taxis, with a weighted average rate of increase of 16.68%. TAC Members considered the rates proposed by the trade were too high and would not be accepted by the public.

7. Having considered the latest operation status of the taxi trade and public acceptability, as well as the relevant factors mentioned in paragraph 2 above, TAC Members supported the Government's recommendation of **a $2 increase in the flagfall charge, a $0.2 increase in the incremental charge for the first-tier distance after flagfall, and a $0.1 increase in the incremental charge for the second-tier distance after flagfall**, for urban, NT and Lantau taxi fares alike. The average rates of the recommended fare increase will be 8.86% for urban taxis, 9.56% for NT taxis and 10.92% for Lantau taxis, with a weighted average

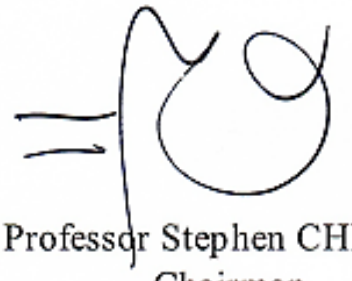
rate of increase of 8.98%. TAC Members noted that under the Government's recommendation, the fare differential between taxis and other public transport modes would be within or close to the established ranges.

8. As regards the urban taxi trade's proposal to shorten the waiting time from 60 seconds to 45 seconds, TAC Members noted that there would already be compensation for taxi drivers for waiting in congested areas with the proposed higher incremental charges after flagfall, and as such there was no need for, in effect, a double increase. As for the trades' proposal to increase the additional fares for every article of baggage carried and for every animal or bird carried, TAC Members noted that there was no particular trend of change in carriage of baggage, animal or bird by taxi passengers for justifying adjustments to the relevant additional fares. Regarding the proposal of the Lantau taxi trade to increase the additional fare for every hiring arranged through telephone booking, TAC Members noted that the proposal would deviate from existing arrangement for the urban and NT taxis and there was no reason for Lantau taxis to be treated differently.

9. In the course of discussing the fare increase applications, TAC Members also noted that the Government had launched a series of measures to enhance the overall quality of personalised point-to-point transport service. Such measures include introducing a taxi fleet regime; increasing the maximum passenger seating capacity of taxis from five to six; introducing a Taxi-Driver-Offence Points ("TDOP") system and a two-tier penalty system for certain taxi-driver-related offences, etc. The relevant bills were passed by the Legislative Council in mid-December 2023 and gazetted on 22 December 2023. In addition, the Government has commenced a study to explore whether it would be feasible to require all taxis in Hong Kong to be installed with camera system in the compartment, and plans to consult the taxi trade within this year. The Government will also continue to encourage the trade to enhance taxi driving safety through various measures. TAC noted that with the implementation of the aforesaid measures, the overall quality of taxi service should be enhanced.

10. I should be grateful if you would convey TAC's advice to the Chief Executive in Council for consideration. I confirm that TAC's advice contained in this letter may be released for public information after the Chief Executive in Council's decision is announced.

Yours sincerely,



( Professor Stephen CHEUNG )
Chairman
Transport Advisory Committee